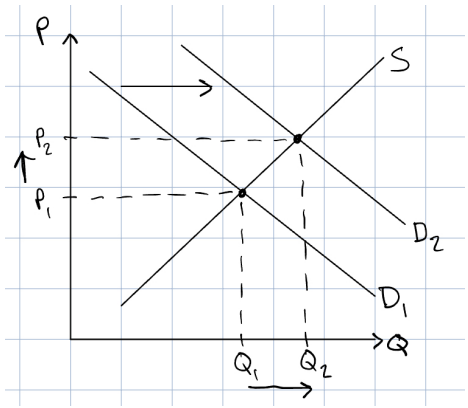
Ch. 4 CW Pt. 1 Solns

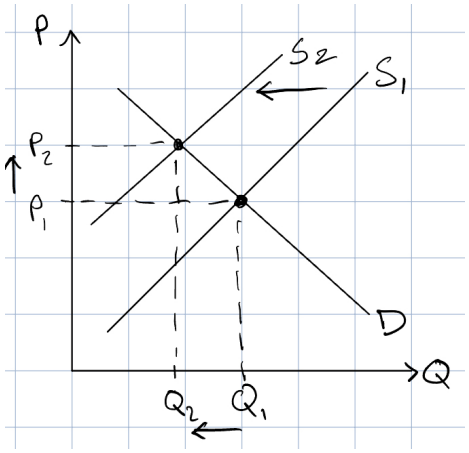
Mr. Spence

June 18, 2026

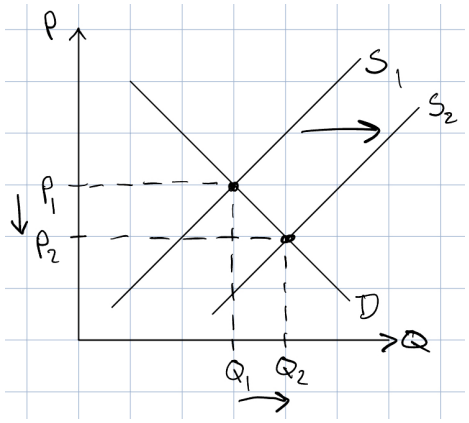
1. (a) Having more children will increase people's taste for minivans and shift demand to the right. That increases the equilibrium price and quantity of minivans.



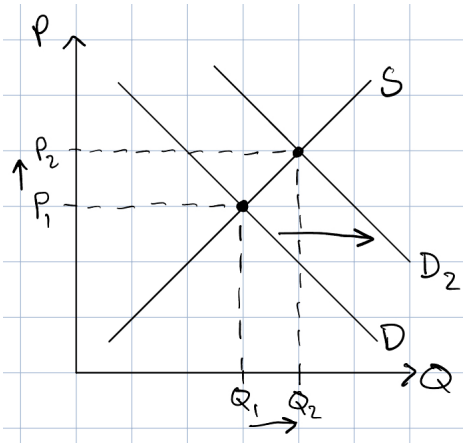
(b) An input price has increased, so the supply of minivans will shift to the left. That increases equilibrium price and decreases equilibrium quantity.



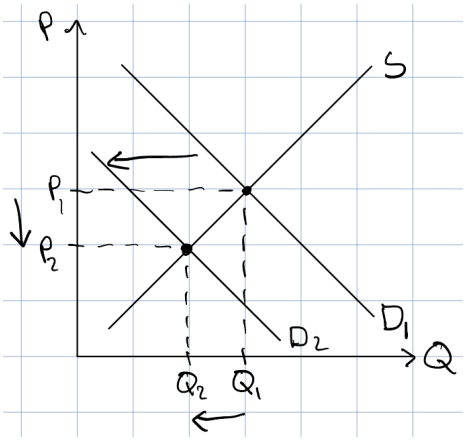
(c) The advancement in production technology will shift supply to the right which lowers the equilibrium price and raises the equilibrium quantity.



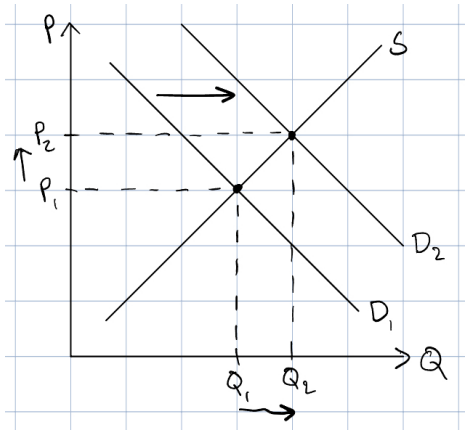
(d) SUVs are a substitute for minivans, so when they get more expensive, demand for minivans increases. That increases the equilibrium price and quantity of minivans.



(e) Minivans are normal goods, so when incomes decline, people buy fewer minivans. That shifts demand to the left which lowers the equilibrium price and quantity.

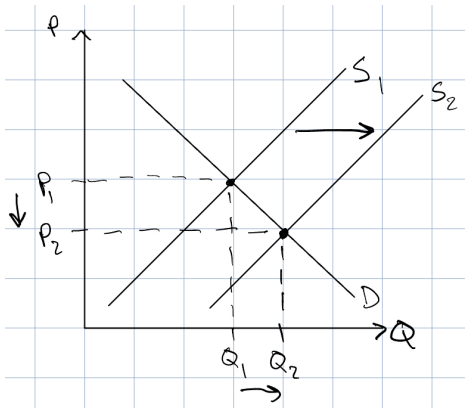


2. False – After the increase in demand, the market will move towards equilibrium. That means quantity supplied will equal quantity demanded at a new, higher equilibrium quantity.

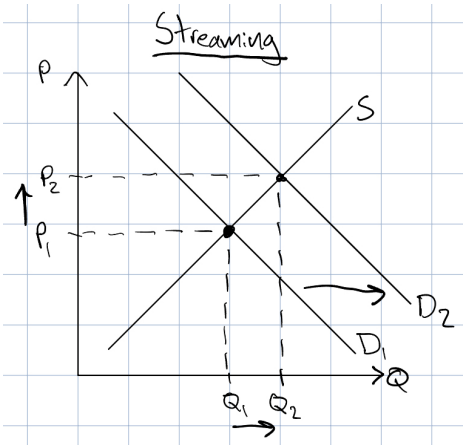


3. (a)
   - Complements – Video streaming and TV screens are typically consumed together.
   - Substitutes – Video streaming and movie tickets are typically consumed in place of each other.
   - Substitutes – TV screens and movie tickets are typically consumed in place of each other.

   (b) The lower cost of manufacturing will shift the supply curve for TV screens to the right which decreases equilibrium price and increases equilibrium quantity.



(c) Video streaming and TV screens are complements, so when the price of TV screens goes down, demand for streaming shifts right, price increases, and quantity increases.



Movie tickets and TV screens are substitutes, so when the price of TV screens goes down, demand for movie tickets shifts left, price decreases, and quantity decreases.

